NASDAQ: FSLR | ENERGY | SOLAR TECHNOLOGY | Q3 2026

First Solar, Inc.

Long Recommendation



RECOMMENDATION

BUY

Initiating Coverage

12-MONTH PRICE TARGET

$234.72

+16.7% upside vs $201.14 (11/6/2026 close)

Ethan Jin | November 2026

Executive Summary

01

Incentive program support

$2.07 – 2.19B

of 45X credits in 2026 guidance

In FSLR's most relevant market, the U.S., the government's production credits provide FSLR with credits for manufacturing modules in domestic facilities. The cost per watt of producing a module is around $0.267/W, and a fully U.S. made module earns up to $0.17/W of 45X credit, greatly increasing profit margins.

02

Insulated from Chinese supply chains

0%

Chinese polysilicon used in FSLR's modules

FSLR is the one large scale U.S. module maker which has minimal reliance on Chinese trade because their modules contain 0% polysilicon. This allows FSLR's costs to be minimally impacted by Foreign Entity of Concern (FEOC) rules.

03

Increased pricing power

+62%

price of U.S. solar module imports after Section 232 tariffs

The Section 232 tariffs, which take place Dec 4, 2026, dictate that module imports must be priced at a minimum of $0.38/W plus a 15% tariff, up from $0.27/W, making total cost roughly $0.44/W. FSLR recently sold 1.4 GW of U.S. bookings at $0.36/W. The oncoming tariffs will allow them to increase prices without affecting costs.

Key risks: post manufacturing-credit pricing, credit policy shifts, potential multiple compression, trade policy and competition, developer investment tax credit expiry

Sources: FSLR Q3 2026 earnings presentation, Q3 2026 10-Q, FY2025 10-K, pv magazine, PV Tech, Q3 2026 earnings transcript, Anza Renewables

Company Overview

WHO IS FIRST SOLAR?

FSLR, founded in 1999, is a leading vertically integrated photovoltaic (PV) solar technology manufacturing company, and the only U.S. headquartered company among the world's largest solar manufacturers. Unlike most competitors, FSLR's modules contain 0% polysilicon and primarily consist of thin-film Cadmium Telluride (CdTe). They operate mostly in the Western hemisphere and have manufacturing facilities in Ohio, Alabama, Louisiana, and South Carolina, alongside international plants in Malaysia, Vietnam, and India. FSLR primarily serves utility-scale power producers, developers, and commercial buyers.

CORE PRODUCTS

Series 6 Plus	4x6 ft older module averaging 464 W, mostly made in international plants, but production cut due to weak pricing
Series 7	4x7 ft module, current main product, averages about 532 W, made mainly in the U.S. (qualifies for the full $0.17/W credit) and India
Series 7 CuRe	Upgrade to the Series 7 that replaces copper in the semiconductor with more stable Group V elements. Currently only permanently produced in Ohio, and planned to be rolled out across other plants in phases
Perovskite (R&D)	Next-generation technology, 1 GW pilot line targeted for operational readiness by H1 2027, but not yet commercially available

Sources: FY2025 10-K, Q3 2026 earnings call, Perovskite Info, Q3 2026 earnings presentation

BY THE NUMBERS

22.1 GW
Nameplate capacity

17.5 GW
Modules sold in 2025

44 GW
Contracted backlog, about $13.5B

$2.4 – 2.6B
FY2026 gross profit guidance

$1.5B
Net cash at Sep 30, 2026

80%
Share of capacity in the U.S. by 2027

Geographic mix: U.S. 96% | International 4%

Policy Overview

Policy	What it does	Impact on FSLR	Status and date
45X manufacturing credit	Provides a federal tax credit on clean energy components, up to $0.17/W for a fully US-made module, or about $0.07/W for a module finished in the U.S.	About $2.1B in FY26 guidance, or $1.5B in Q3 YTD, which is around 82% of 9-month gross profit	In effect from 2023 to 2032 with phase-down beginning in 2030. 75% of the credit is available in 2030, 50% in 2031, 25% in 2032, and 0% in 2033 onwards.
48E and 45Y project credits	Tax credits developers can claim for solar projects based on construction and capital costs (48E), and the amount of clean electricity generated over time (45Y)	Increases demand for solar modules	Facilities had to have begun construction by July 4, 2026, or must be in service by YE2027 to qualify
Foreign Entity of Concern (FEOC) rules	Restricts clean energy tax incentives for manufacturing projects connected to China, Russia, Iran, and North Korea.	Provides an edge over China-linked polysilicon module makers	Notice 2026-15, released February 12, 2026, states that there is a 50% material assistance cost ratio (MACR) threshold to qualify for 45X credits, increasing to 85% after 2029
Section 232	Sets minimum import prices for solar modules ($0.38/W) and cells ($0.22/W) and a 15% tariff	Raises the cost of importing and supports domestic pricing	Effective December 4, 2026, and rates can differ by country

Sources: Q3 2026 10-Q, Q3 2026 earnings presentation, Q3 2026 earnings call, Notice 2026-15, EY, Hunton, Gibson Dunn

Investment Thesis

01 Incentive programs provide multi-year earnings tailwind through 2029

- Q3 YTD credits were about $1.5B, which is roughly 82% of 9-month gross profit
- The credit is worth up to $0.17/W on fully US-made modules and $0.07/W for South Carolina-finished ones. At a FY2025 cost of roughly $0.267/W before credits, 45X greatly increase margins
- FSLR's CEO guides that 80% of their manufacturing footprint will be in the U.S. by 2027

02 Insulation from China-linked supply and FEOC

- FSLR's CdTe modules don't depend on Chinese polysilicon supply, insulating them from FEOC rules while rivals are more exposed
- Silicon competitors can't easily copy FSLR's domestic supply chain, as U.S. silicon module makers are short of cells
- Developers can only claim 48E and 45Y project tax credits if 40% of the project's equipment cost came from suppliers that are not FEOCs.

03 Section 232 tariffs increase pricing power

- From December 4, 2026, onwards, Section 232 tariffs dictate that solar module imports must be priced at a minimum of $0.38/W and $0.22/W for cells plus a 15% tariff, putting effective prices at $0.42 - $0.44/W
- For U.S. module manufacturers who import cells, Roth Capital Partners estimates that post-232 pricing may rise to $0.40/W, representing a $0.11/W increase
- FSLR's has leeway to raise its ASP from $0.36/W to $0.40 - $0.42/W while keeping costs steady and staying price competitive

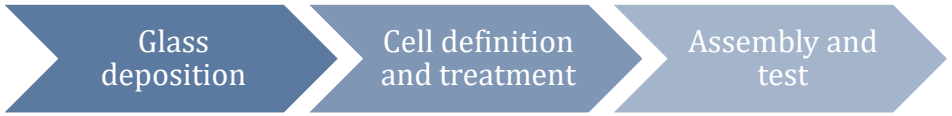
Sources: Q3 2026 earnings presentation, Q3 2026 10-Q, FY2025 10-K, Q3 2026 earnings call transcript, Norton Rose Fulbright, pv magazine

Competition

Polysilicon manufacturing process



FSLR manufacturing process



Metric	Silicon makers	First Solar
Process	Several days, multiple factories	Hours, one continuous line
Semiconductor Material	Baseline	2 – 3% as much as baseline
Reliance on China	Polysilicon, wafers, cells	Tellurium
45X credit per watt	About $0.07/W if cells were imported	$0.17/W for fully US-made modules

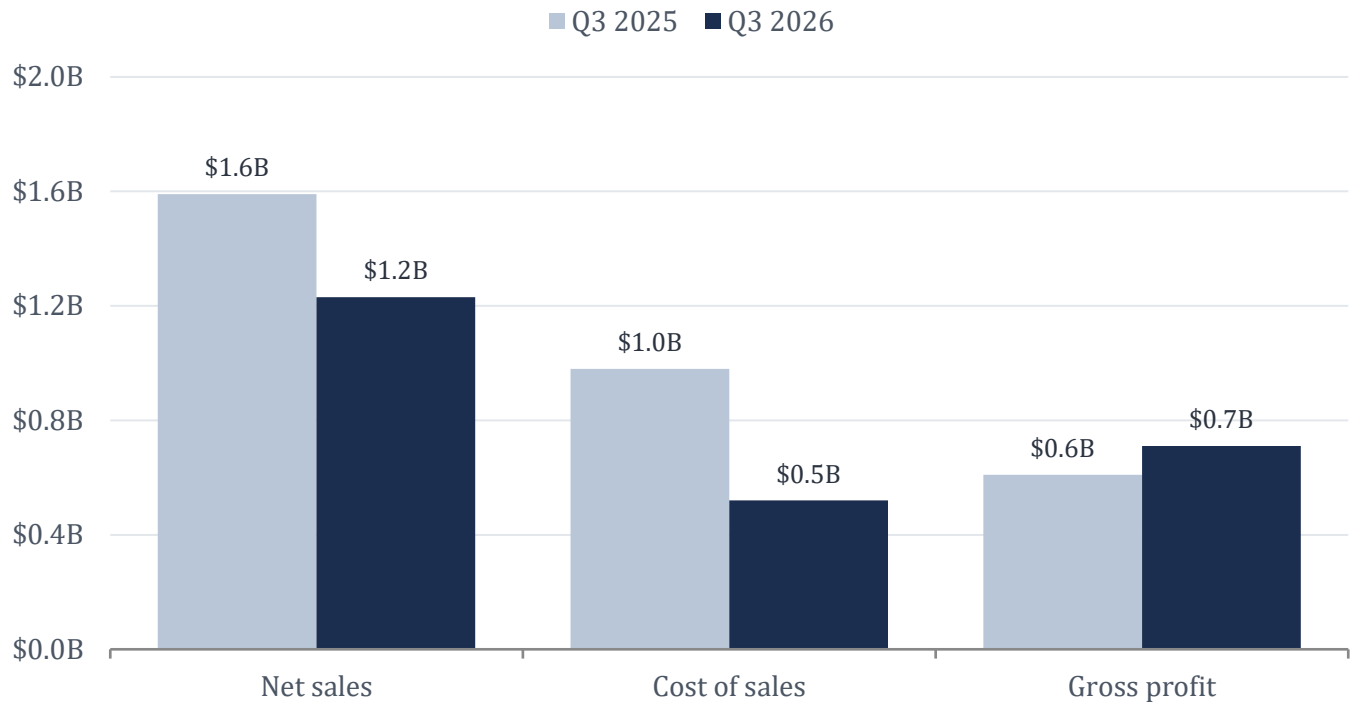
Sources: FY2025 10-K, Q3 2026 10-Q, Canary Media, EY, Hunton

Competitive landscape

- **FSLR competes on a price per watt basis**, mainly against Chinese-linked silicon makers
- **Cell bottleneck:** About 65 GW of U.S. module capacity sits on only 3.2 GW of cell capacity, so most silicon assemblers import cells from Asia
- **Section 232 increases cell prices:** the new minimum import price for cells is $0.22/W, raising costs for assemblers who import cells
- **Named rivals in FSLR's FY2025 10-K:** JinkoSolar, JA Solar, Trina, Canadian Solar, Hanwha Qcells
- **FEOC rules split the industry:** if a factory is owned or controlled by a Chinese-linked company, the credits tied to its products can be at risk. Separately, enough of the equipment has to come from non-FEOC suppliers.
- **JinkoSolar** and **Hounen** are likely to fail the ownership test, **Canadian Solar** hasn't completed a sell-off of its Chinese linked ownership, and **Trina** and **JA Solar** have already sold their U.S. plants
- **FSLR is enforcing its patents:** it sued JinkoSolar and Canadian Solar over TOPCon and filed a February 24, 2026, USITC petition naming 10 companies

Q3 2026: EPS beat, revenue miss, sales guidance cut

Q3 2026 vs Q3 2025: Sales fall, but credits drive profit



$5.30
Earnings Per Share
+25% YoY

4.1 GW
Volume sold
-23% YoY

$4.6B – $4.9B
FY net sales guide
Cut from $4.9B – $5.2B

16.0 – 17.0 GW
FY volume guide
Cut from 17.0 – 18.2 GW

$2.4B – $2.6B
FY gross profit guide
Unchanged

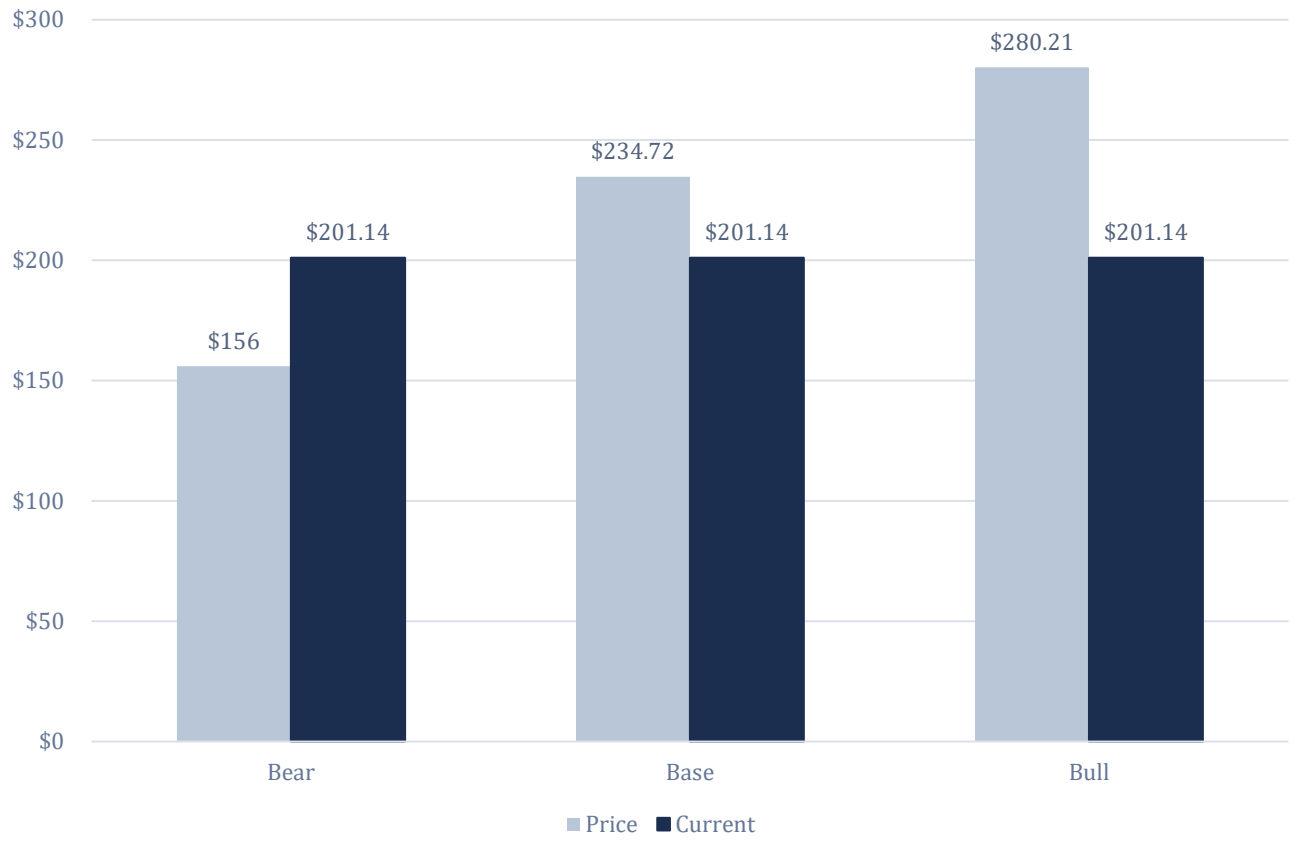
57.9%
Gross margin
+19.6 pts YoY

Quarter takeaways: Even though FY2026 sales and volume guidance were both cut, gross profit guidance remained unchanged for two main reasons: the strength of the 45X credits and the volume cut coming mostly from international markets that don't earn credits. The credit-earning domestic volume was left largely intact. Cost of sales decreased substantially YoY, caused by both a higher volume of modules qualifying for the 45X credit and a lower volume sold. New U.S. bookings since the Q2 earnings call were about 1.4 GW at $0.36/W including adjusters, somewhat above the backlog average before any Section 232 effect. Volume after 2028 remains the open question.

Sources: Q3 2026 earnings call, Q3 2026 10-Q, StockStory, Q3 2026 earnings presentation

Valuation

Bear, Base, and Bull cases vs. current stock price (11/6/2026)



TAKEAWAYS

- **Method:** Forward EV/EBITDA multiple valuation
- **Current NTM multiple is 5.94x:** we believe the multiple holds because earnings are contracted and visible. The $13.5B backlog extends through 2030, and 45X Credits persist with full value through 2029, phasing down through 2032
- **Net cash:** $1.5B as of 9/30/2026, plus about $2B of expected cash flow through 2027 mostly via 45X credits, assumes no buybacks

Scenario Table	Bear	Base	Bull
2028E EBITDA	$2,653M	$3,658M	$3,869M
NTM EV/EBITDA Multiple	5.0x	5.94x	6.88x
Price	$156	$234.72	$280.21
Vs. current	-22%	+17%	+39%

Sources: S&P Capital IQ, FSLR Q3 2026 10-Q, FSLR Q3 2026 earnings release

Comparable Analysis

Comparable competitors table, all numbers pulled from consensus at S&P Capital IQ

Company	Market Cap ($M)	EV ($M)	NTM EV/EBITDA	LTM EV/EBITDA	NTM revenue growth	NTM EBITDA margin
First Solar	$21,618.8	$20,319.7	5.94x	7.28x	19.98%	56.22%
Canadian Solar	$754.1	$8,084.6	9.45x	12.48x	26.35%	15.57%
JinkoSolar	$574.5	$6,624.2	12.49x	13.73x	42.86%	5.28%
Nextpower	$15,796.1	$14,810.7	12.21x	15.41x	22.68%	21.25%
Array Technologies	$903.2	$2,029.3	6.63x	12.15x	13.95%	15.58%
Enphase	$3,766.3	$3,449	15.45x	24.88x	NM	20.28%
Shoals	$1,698.2	$1,890.7	10.86x	14.96x	8.2%	21.9%
Median of Peers	--	--	11.54x	14.35x	22.68%	17.93%
Mean of Peers	--	--	11.18x	15.60x	22.81%	16.64%

Sources: S&P Capital IQ

Discounted Cash Flow Analysis

Unlevered FCF Projection and Bridge to Price per Share

	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	$4,822.0	$5,858.7	$6,715.6	$7,236.0	$7,299.4	$6,861.4
EBITDA	$2,478.8	$3,212.3	$3,658.0	$3,843.1	$3,587.6	$3,054.7
EBIT	$1,898.7	$2,507.5	$2,894.4	$3,068.1	$2,854.0	$2,410.4
Unlevered FCF	$1,416.9	$1,920.3	$2,306.5	$2,567.7	$2,368.0	$2,127.5

Metric	$M
PV of free cash flow	$8,634.9
PV of terminal value	$8,958.8
Enterprise Value	$17,593.6
+Net cash	$1,624.1
Equity Value	$19,217.7
÷ Shares	107.5
DCF value per share	$178.80

TAKEAWAYS

- **Key Assumptions**
  - WACC: 11.98% (risk-free rate 4.83%, equity risk premium 4.33%, beta 1.65)
  - Revenue growth fades from +21.5% in 2027 to –6.0% in 2031 as the backlog runs off
  - EBIT margin decreases as 45X credits phase out
  - 8.0x EV/EBITDA exit multiple with $1,050M subtracted from terminal value to reflect credits ending
- **What the DCF says**
  - Price range of $159.55 (perpetuity growth) to $178.80 (exit multiple), about 11% to 21% below current price
- **Difference vs. price target**
  - The target uses 12-month earnings while the DCF includes the credit phase down, so both methods measure different time horizons, with the DCF being the longer-term floor.

Source: FSLR FY2025 10-K, Q3 2026 10-Q, S&P Capital IQ

Sensitivity Table

Exit multiple method: WACC (down) vs. EV/EBITDA exit multiple (across)

WACC	6.0x	7.0x	8.0x	9.0x	10.0x
10.98%	$162.69	$173.60	$184.51	$195.42	$206.34
11.48%	$160.30	$170.96	$181.62	$192.28	$202.94
11.98%	$157.96	$168.38	**$178.80**	$189.22	$199.64
12.48%	$155.68	$165.87	$176.05	$186.23	$196.42
12.98%	$153.46	$163.41	$173.37	$183.32	$193.27

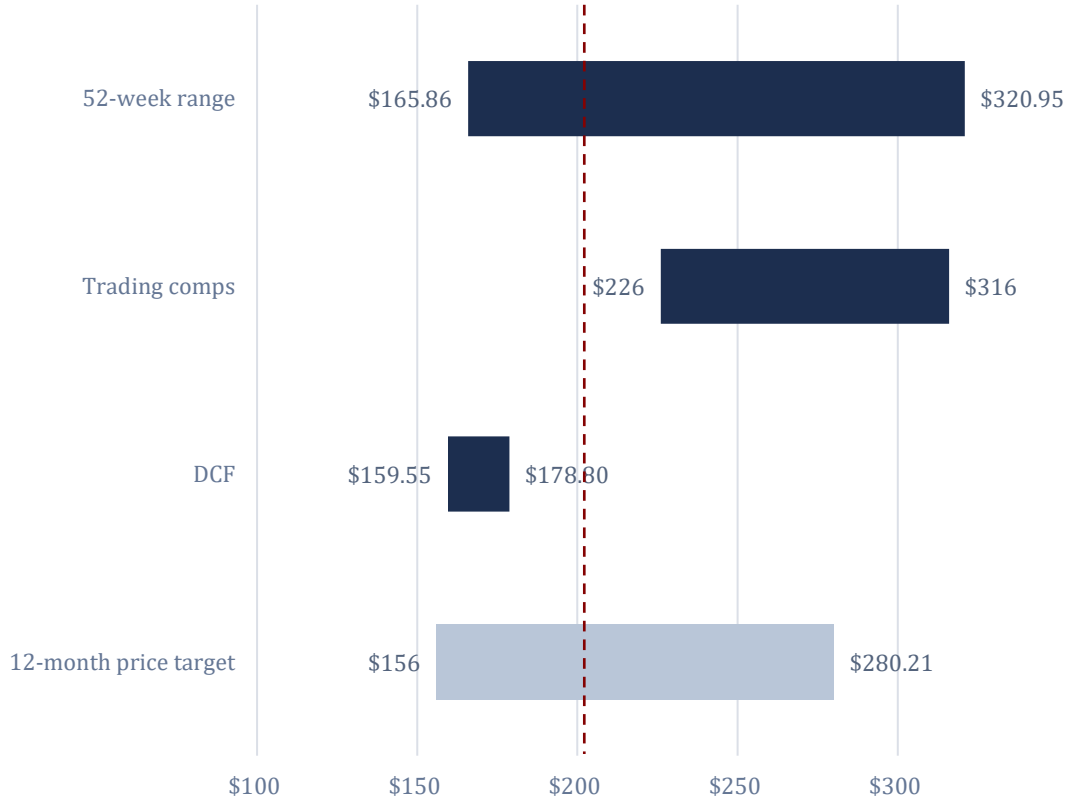
TAKEAWAYS

- **Exit multiple matters more than discount rate:** Moving WACC by a full point shifts the DCF only by around $4 - $5 a share, while increasing exit multiple by 1 yields an extra $10 of share price.
- **Half of the DCF's value sits in terminal value:** Because the 2031 credit is removed before the terminal value is calculated, the DCF values FSLR's terminal value on earnings without 45X. This makes it a bit of a conservative view and explains why it sits below the multiple-based price target.
- **Only the upper right corner of the table clears current price:** Reaching current price takes a lower WACC and higher exit multiple, meaning the market may be more optimistic than our Base case assumes in terms of post-credit margins and pricing.

Source: S&P Capital IQ, FSLR FY2025 10-K, Q3 2026 10-Q

Football Field

Football Field including 52-week range, Trading Comps, DCF, and 12-month PT



TAKEAWAYS

- **The $234.72 target sits inside the market's own range:** it falls squarely within both the 52-week range and the trading comps range, so the target doesn't require the stock to trade outside where it has been or where its peers trade. It is above the DCF, which is the one valuation method that doesn't support it.
- **The DCF is the conservative price floor:** At a range of $159.55 (perpetuity growth method) – $178.80 (exit multiple method), it sits below the current $201.14 because it removes the 2031 credit before calculating terminal value and fades revenue growth to –6% by 2031. It assumes the credits end on schedule, and nothing better happens for FSLR, which is why it doesn't support the price target on its own.
- **Comps point higher, but for a reason:** FSLR trades at just 5.94x NTM EV/EBITDA against a peer median of 11.5x, and even the low end of the comps bar (Array Technologies at 6.6x) implies about a $226 share price. We don't want to solely rely on comps, though, as FSLR's high EBITDA margin relies on credits that expire in 2033.
- **Downside is supported, and upside is reasonable:** The bear case of $156 sits close to the DCF's low end and the 52-week low, and the bull case of $280.21 is below the 52-week high of $320.95. Together, they show a range we've seen the stock trade at, not an unrealistic one.

Source: S&P Capital IQ, FSLR FY2025 10-K, Q3 2026 10-Q

Key Risks

Risk	Rating	Description	Impact
Post-credit pricing	**HIGH**	Once the 45X credits phase out, FSLR has to earn its profit purely on a price per watt basis. Current backlog is at about $0.31/W and the latest bookings before Section 232 takes effect are around $0.36/W	This is the biggest risk, as if prices stay at or fall to backlog levels, then pre-credit margins don't reach the base case's 20% and the value stays near the DCF
Credit policy	**LOW**	FSLR gets about $2.1B a year from 45X credits, which is most of its profit right now. Congress could potentially change the law, though the recent Democratic sweep lowers odds of 45X cuts.	Less cash, lower EBITDA, and a lower valuation consequently
Multiple compression	**MED**	We assume the current EV/EBITDA multiple of 5.94x holds until 2027 – 2028. As 2030 gets closer and the credits begin to phase down, investors may want to pay less per dollar of EBITDA.	A one-turn change in multiple causes the stock price to fluctuate by $34, which makes it a very sensitive input
Trade policy and competition	**LOW**	The Section 232 import floor (effective Dec 4, 2026) supports domestic pricing for FSLR. If it were weakened, cheaper imports could return and outprice FSLR.	Feeds into the post-credit pricing risk, as lower import prices means lower margins and fewer bookings for FSLR.
Developer tax credit expiry (45Y/48E)	**MED-HIGH**	Projects that missed the July 4, 2026, construction start no longer qualify for federal investment tax credits, so demand after the projects finish (about 2029 – 2030) is uncertain.	Lower sales volumes in the 2029+ years, leading to a lower multiple and valuation

Sources: FSLR Q3 2026 10-Q, S&P Capital IQ, IRS Notice 2025-42, Taiyang News, MooMoo

Thank you for listening!